THE FOUNDING HUNDRED · PROPOSED TERMS

The first hundred pairs of Tropos, reserved before they exist.

EARF, [legal name and form, not yet registered], San Francisco, proposes to take refundable reservations, then deposits, for the first hundred pairs of Tropos, a powered horn loudspeaker, made to order in one of eight colors. Each pair is numbered on its rating plates (FOUNDING 001–100 / 100). We ask counsel to confirm or correct each term below, and to settle the points marked Q.

TERM	PROPOSED	BASIS
Product status	A planned product: designed, not yet built in production, tested or certified. Every reservation page and receipt says so, with the FCC notice for a device not yet authorized.	FTC Mail Order Rule ("dry-testing"); 47 CFR §2.803 Q1: confirm the notice text, and whether a refundable reservation is permitted before authorization
Stage 1: reservation	[RESERVATION] (R2's example: about $1,000 a pair). "Planned product; no ship date yet; refundable in full, at any time, for any reason." Not a purchase. Refunds within 7 working days.	R2 §4.4 stage 1; FTC Rule (refund timing)
Stage 2: order and deposit	Offered only after a working prototype exists. The buyer chooses to order or take the reservation back. Deposit of [DEPOSIT]% of [PAIR PRICE]. Q2: R2 suggests 30–50%; policies-draft.md defaults to 25% (payment processors favor partial deposits). Which?	R2 §4.4 stage 2; policies-draft.md §1 "Deposit and balance"
Ship estimate	A dated, written estimate with a reasonable basis, given at order ("made to order in your color; ships in [16–20] weeks", R2's example). "Ship" means leaves us.	FTC Rule (reasonable basis; 30-day default if none stated); policies-draft.md "Ship date and delays"
Delays	Before a date is missed: notice, a new date and a free way to cancel. First delay of 30 days or less: silence is consent only if the notice says so. Longer or later delays: the buyer's express yes, or cancel and refund.	FTC Rule (delay notices and consent)
Canceling after order	Full refund until production of that pair begins (we email when it does). After that: Q3: R2 advises terms tied to actual, documented costs and warns against "non-refundable deposits"; policies-draft.md defaults to "we keep the deposit and no more". Is a retained deposit an unenforceable penalty here?	Civil Code §1671(c)–(d); R2 §4.4; policies-draft.md "Canceling"
Not authorized or missed date	If the pair can't be authorized, or we miss the ship date, the buyer may cancel and receive everything paid, within 7 working days.	policies-draft.md; FTC Rule
Stage 3: balance	Due when we tell the buyer the pair is finished; ships once paid.	R2 §4.4 stage 3; policies-draft.md
Disclosures before payment	Refund and return policy, legal business name and street address, shown before any payment is taken; the refund policy posted conspicuously.	B&P §17538(d); Civil Code §1723 Q4: is a standard pair in a standard color "customized goods"?
Holding the money	Reservations and deposits in a separate account, spent only on that buyer's order until it ships.	R2 §4.4 (recommendation) Q5: trust account or simple segregation?
The numbers	Numbered in order of reservation; the number, certificate and register are a recognition, not a security or a promise of value.	Q6: confirm no securities or "investment" reading
Before taking anything	The entity registered (FBN, SF registration; a Delaware C-corp if a seed is planned, R2 §1); the payment processor's consent to pre-orders; when sales tax falls due on a deposit.	R2 §5; policies-draft.md (CDTFA question) Q7: when is sales tax due on a deposit?

Sources: funding research R2-funding.md §4.4 (FTC Mail, Internet, or Telephone Order Merchandise Rule; California B&P §17538; Civil Code §§1671, 1723), on branch r46-owner-notes at 97ca003e; spinoffs/barkhorn/launch/policies-draft.md (terms of sale, for counsel). The reservation page mockup is brandbook/launch/reserve.html. Amounts in brackets are the owner's to set.